



) Absa Bank Kenya PLC)

Full Year 2023 Investor Briefing

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- Business Overview
- Financial Performance
- Strategic Outlook & Guidance



Your story matters



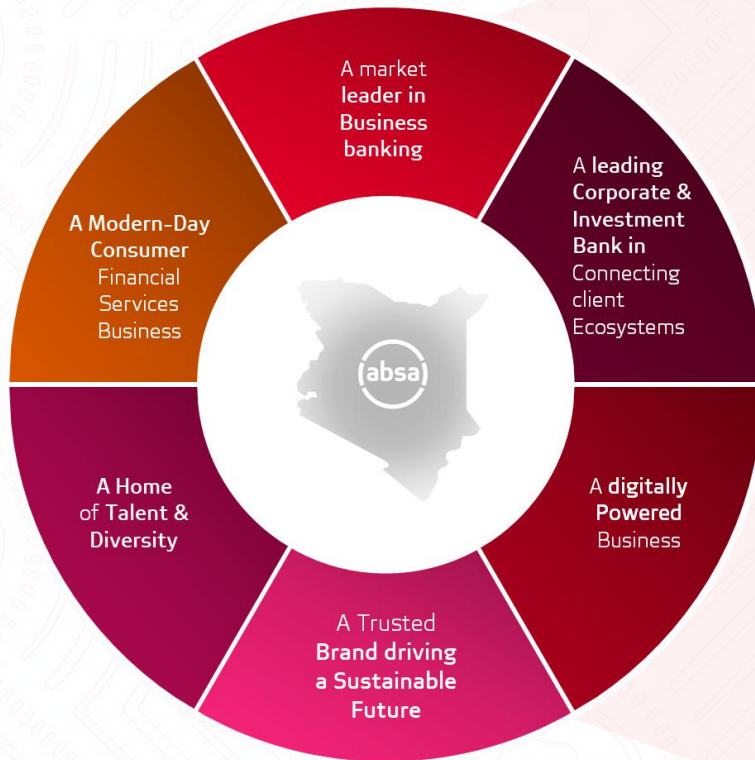
Business *Overview*



Abdi Mohamed
Chief Executive Officer

Our strategy: We have reviewed and re-anchored our strategy, and achieved significant year-1 milestones

The re-anchored strategy



Core components landed over the last 12 months

Consumer Business	-Re-organized the business into core segments establishing a growth and diversification road map -Expanded our digital and physical distribution - 40% increase in digital loans disbursements and 68% increase in Timiza insurance
Business Bank	-Enhanced transactional and working capital capabilities -Access to Pan-Africa markets (Ghana, Mauritius and South Africa) -1,000 farmers in 10 counties trained in post-harvest management
Corporate and Investment Bank	-Established a regional investment bank -Established a custody business -Modernized our transactional banking technology
Digitally Powered Business	-Migration to cloud for resilient operations – 99% system uptime - High level of back-end processes digitized and automated -25% increase in digitally active customers -98% of transactions on alternate channels
A trusted Brand driving sustainable future	-Most reputable financial Brand (by GlobeScan research) -94% Brand awareness with 2X growth in Brand consideration -Launched new brand promise
A home of talent and diversity	-75.3 colleague experience index -16% increase in future skills training -Top employer 3-years in a row

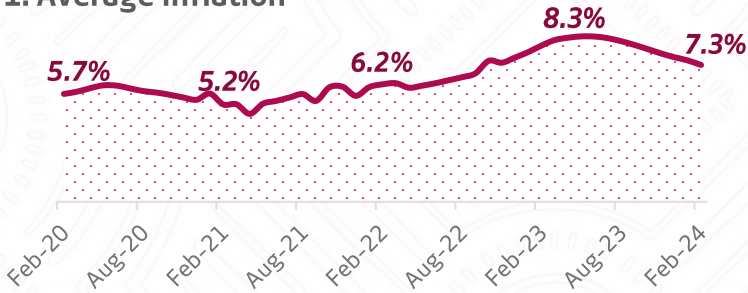


Operating environment: While managing through a persistently complex operating environment with addressable risks and opportunities

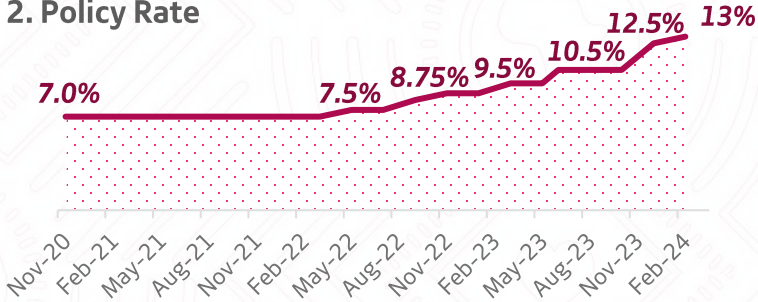


Headwinds

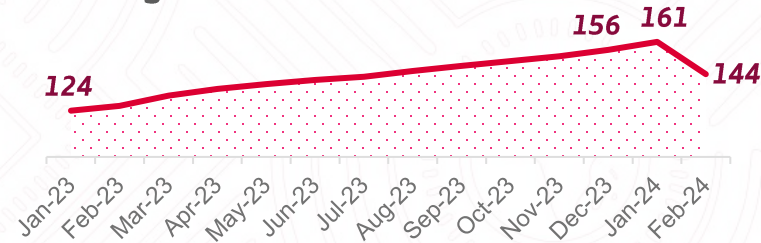
1. Average Inflation



2. Policy Rate

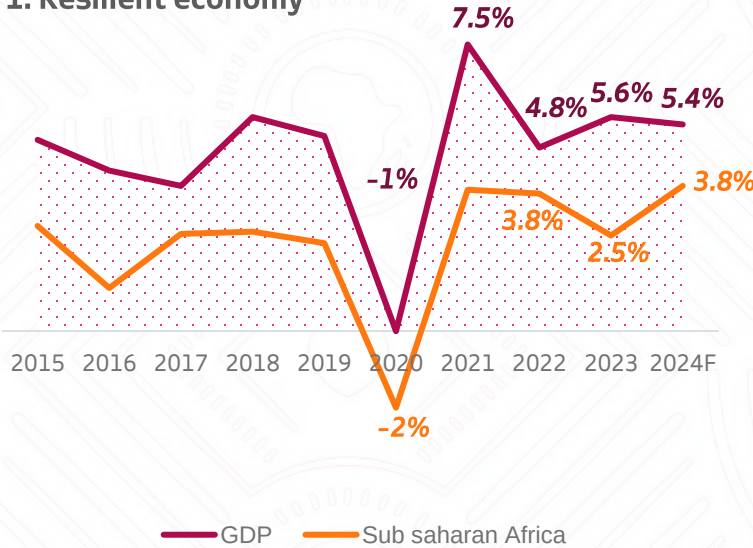


3. Exchange Rate

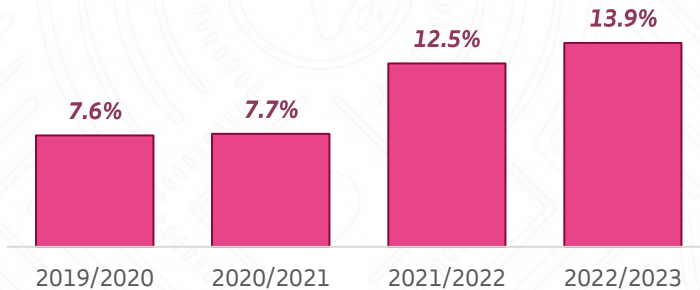


Tailwinds

1. Resilient economy



2. Strong private sector credit growth: Resilience in private sector



Key achievements on franchise health

1. Sustained momentum with growth in revenue by 19% achieving KES 50+ billion revenue for the first time.
2. Growth in franchise attractiveness evidenced by growth in deposits by 19% to KES 363 billion and crossing half-trillion in total assets
3. Non performing loans retained at best in class at 9.6%
4. Efficiencies and productivity gain embedded in the organization with cost-to-income ratio improving to 39.7%
5. Growth in active customers numbers by 16% as we become the primary finance partner





We can't wait to hear your story



absabank.co.ke

Your story matters



Ts and Cs apply.
Absa Bank Kenya PLC is regulated by the Central Bank of Kenya

Our brand promise: We have entered a new horizon with our brand, positioning towards becoming a trusted customer champion

The focus areas embedded in our new brand promise

Empathy

We **see** and **understand** your side

Seamless experience

We get things done with **ease** and **delight**

Your story matters





For our customers: We have sustained innovation to expand our market leading propositions



New propositions in 2023

1. **MobiTap** – mobile payment solution for SMEs
2. **Buy Now Pay Later** enhancing our card proposition
3. **Diaspora remittances**
4. **Digital current account** and a high yielding savings account
5. **Affordable housing** with single-digit interest rates
6. **Custody business**
7. **Enhanced China corridor business**

Further improving the health of our franchise

50:50 diversified revenue between retail and wholesale bank

Double-digit growth in subsidiaries diversifying our revenue

98% of transactions on alternate channels

High-level of back-office processes digitized and automated

<40% efficiency ratio (cost-to-income ratio)

88 in customer experience scores

Awards



- Best in **Bank Operations** – KBA
- Best Bank in **Asset Finance** -Winner – Think Business
- Best **API Initiative** of the Year in Kenya - MEA Innovation
- Best **Internal Customer Experience** – Service excellence awards

- Best Bank in **Integrated Report** – Financial Reporting Awards
- Most **Innovative Brand** - 2nd Runner up – Think Business
- Best Bank in **Retail banking** – 2nd runners up – Think Business
- Best Bank in **Product Innovation**- 2nd runners up – Think Business



No story is too
big or too small

For our customers: We are enabling customer aspirations while supporting them to navigate a tough operating environment

1. Continued supporting our customers with financial and non-financial skills to support their growth ambitions, we have committed KES 100 billion towards MSMEs in the next three years

Gross lending to our
customers (KES)

147bn

Customers empowered
with non-financial skills

10,000+

2. Supporting our customers' journey through a tough operating environment

Facilities restructured
(KES)

2.1bn

Timiza-waived loans
(KES)

374mn

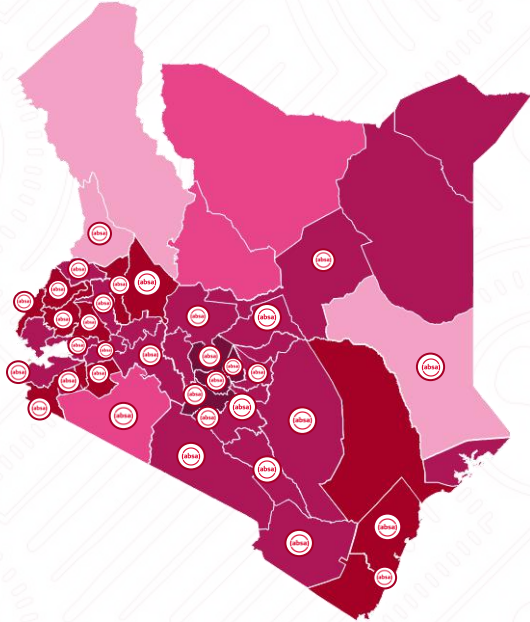
Your story matters



For our customers: We are expanding our local and global reach

Local reach

Distribution reach



Expanding **agency and branch** outlets

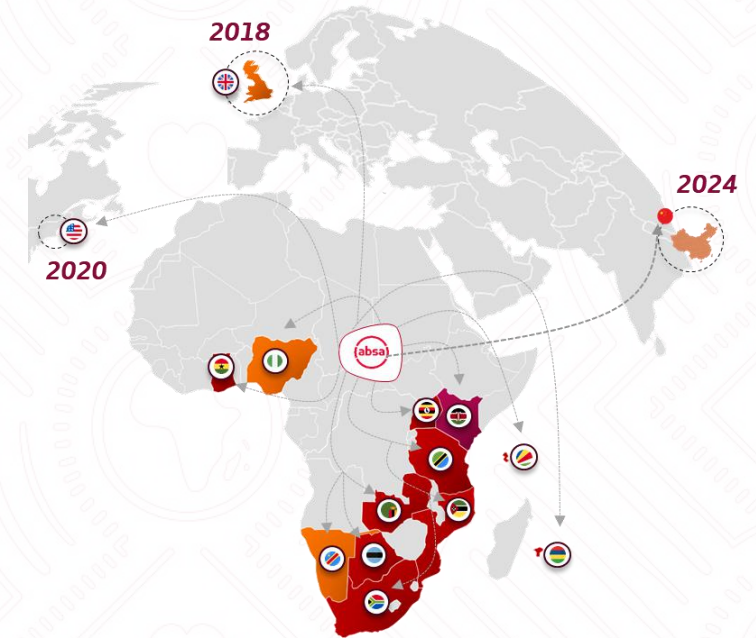
Global reach

Our diaspora proposition



Acquiring Kenyans diaspora customers from **40+ countries** with our new propositions where customers can access insurance, investments and advisory services

Large Africa footprint with global offices



Three representative offices to serve our global clients: *London, New York and Beijing*

Awards -Best Bank in **Agency Banking**- 1st Runners up – Think Business
 -Best Bank for **Trade Finance** in Africa - MEA Innovation
 -Best **Trade Finance Platform Initiative** in Africa - MEA Innovation

-Best Bank for **Cash Management** in Africa - MEA Innovation
 -Best Bank in **Trade Financing** – 2nd Runners up – Think Business

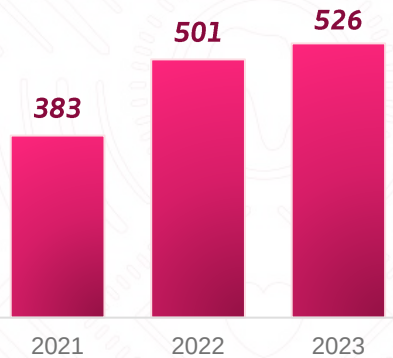


Your story should be heard

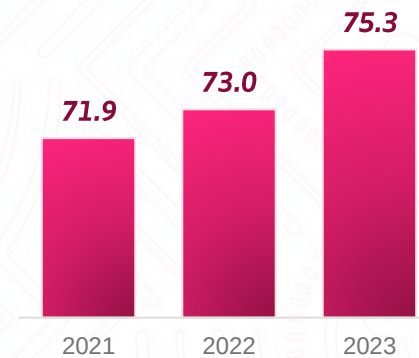
For our colleagues: We are building a home of talent and diversity

Supporting our colleagues achieve their aspirations

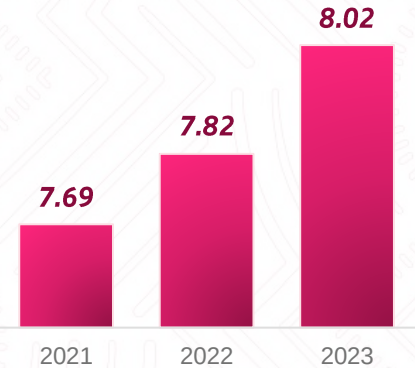
Hires to support growth



Colleague experience index



Job satisfaction index



129 colleagues promoted and seconded for career growth as we help them achieve their aspirations

116 million invested in learning and development for colleagues towards future skills such as data science

50:50 organization wide gender parity and **53:47** in management roles

Awards



- Certified: **Top Employer** 3-years in a row
- Winner: **Human Resource practice** and **Industrial Relations**
- 1st runners up: **Learning** and **Development**



These hands tell a story

For our ESG agenda: We have increased our ESG-linked financing, promoting sustainable development

Our sustainability pillars



Environment

Social and Economic

Governance and Reporting

Advocacy

17 billion advanced towards clean and renewable energy, **1 billion** of this supporting solar initiatives for off-grid communities

3 billion advanced towards green buildings supporting affordable housing through responsible construction

2.2 billion advanced in climate-smart agriculture towards reducing post-harvest losses and enhancing productivity

21 billion advanced to start-ups and youth through our Timiza platform

15.1 billion advanced towards MSMEs with 30% of this dedicated to women led business

Awards



-Best in **Sustainable Finance** – Kenya Bankers Association

-1st Runner up for **Promoting Gender Inclusivity** - Kenya Bankers Association

-2nd Runner up **overall SFI Awards 2023** – Kenya Bankers Association

Your story matters





Every face tells a story

For our communities: we are delivering shared value by transforming the communities we operate in

65 computer labs in primary and secondary schools across the country

65,000 learners empowered with digital literacy

250,000+ students empowered with Ready to Work skills, enabling them to earn livelihoods

1.4 million trees planted in partnership with community forest associations, restoring biodiversity in critical ecosystems and creating livelihoods

500+ women-led businesses trained on corporate procurement readiness in partnership with IFC sourcing to equal program,

90%+ of our suppliers trained on sustainable business practices

900 of colleagues invested over **3,500** hours in community work

Financial *Performance*

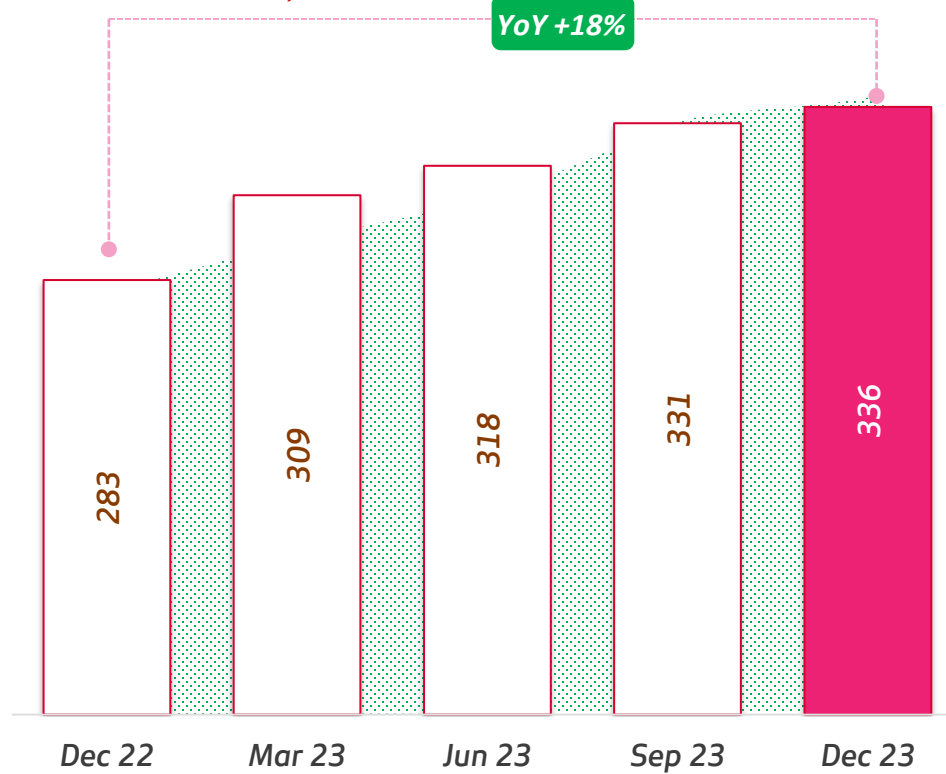


Yusuf Omari
Chief Financial Officer

Bolstered balance sheet: Growth across all our businesses with diversification from a product and currency perspective

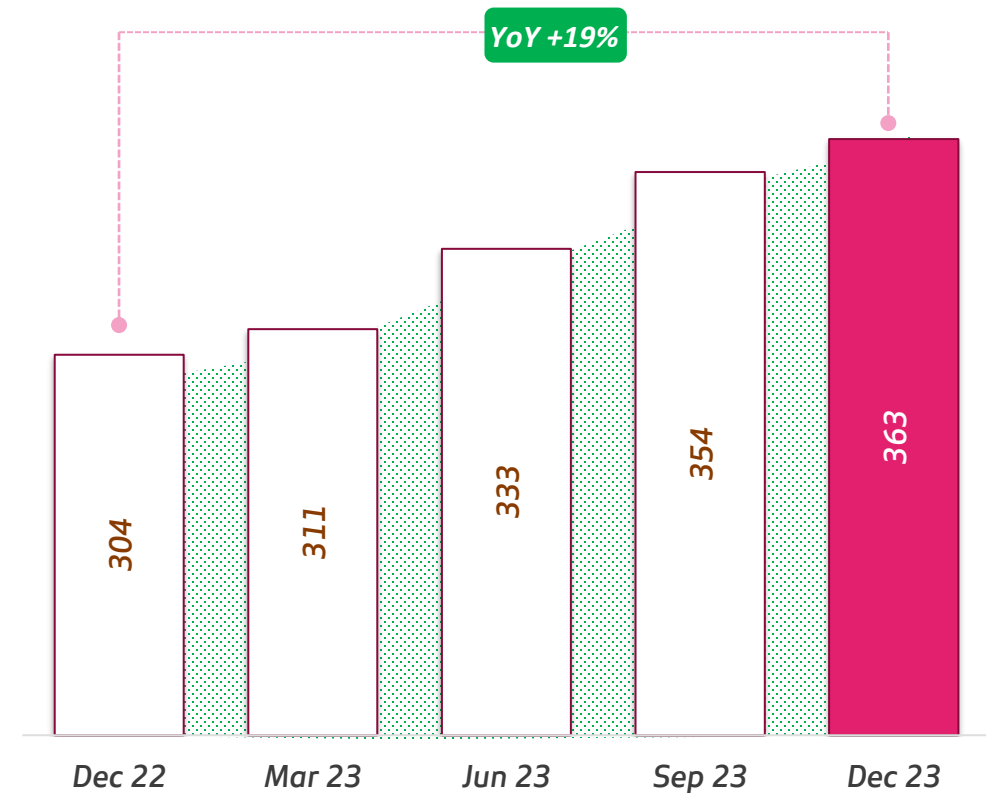
Customer Loans and Advances

(In KES bn unless stated otherwise)



- Diversified growth driven by mortgages, secured lending and trade loans in corporate and business bank
- 2/3 of our balance sheet is local currency denominated and largely insulated from currency fluctuations

Customer Deposits

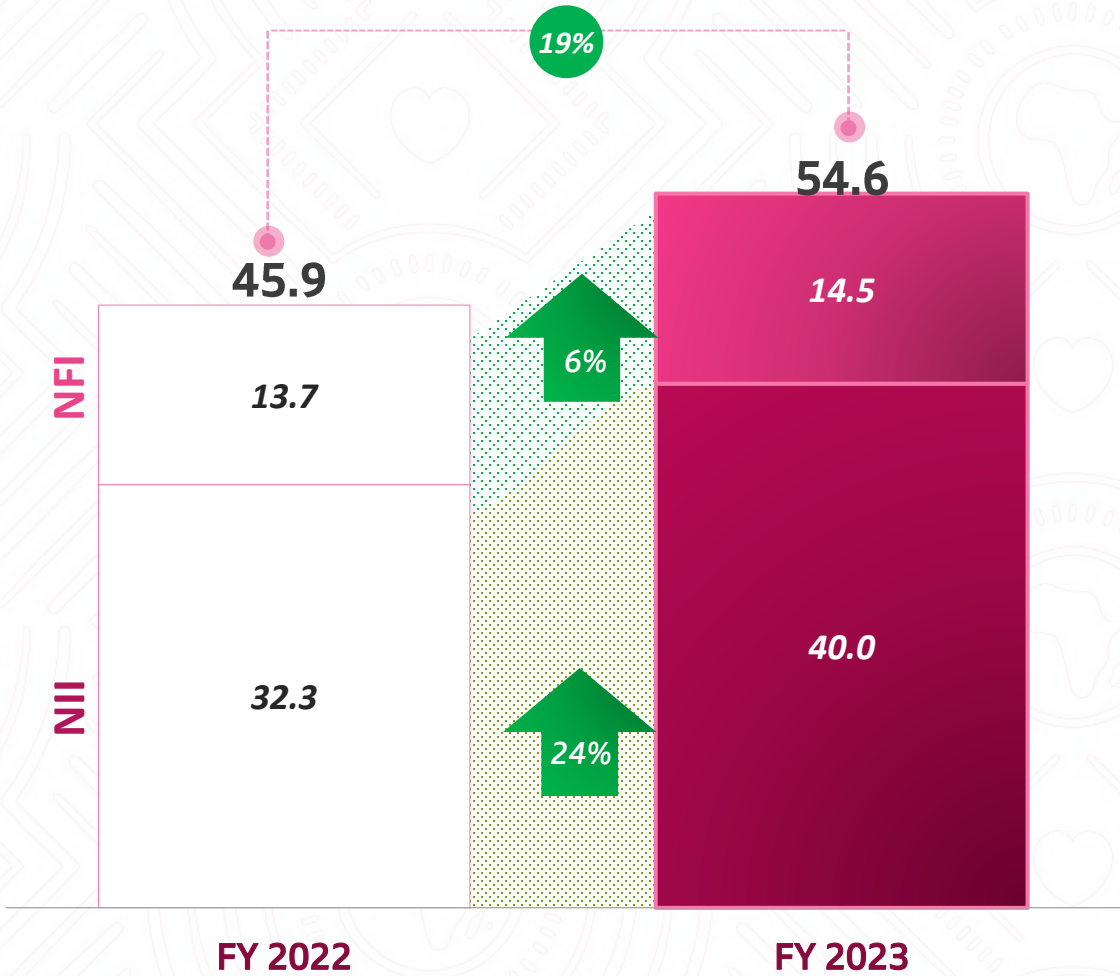


- Focus is on attracting **cheaper deposits** to lower the cost of funding
- Cost of funds 3.5% (2022 – 2.5%)

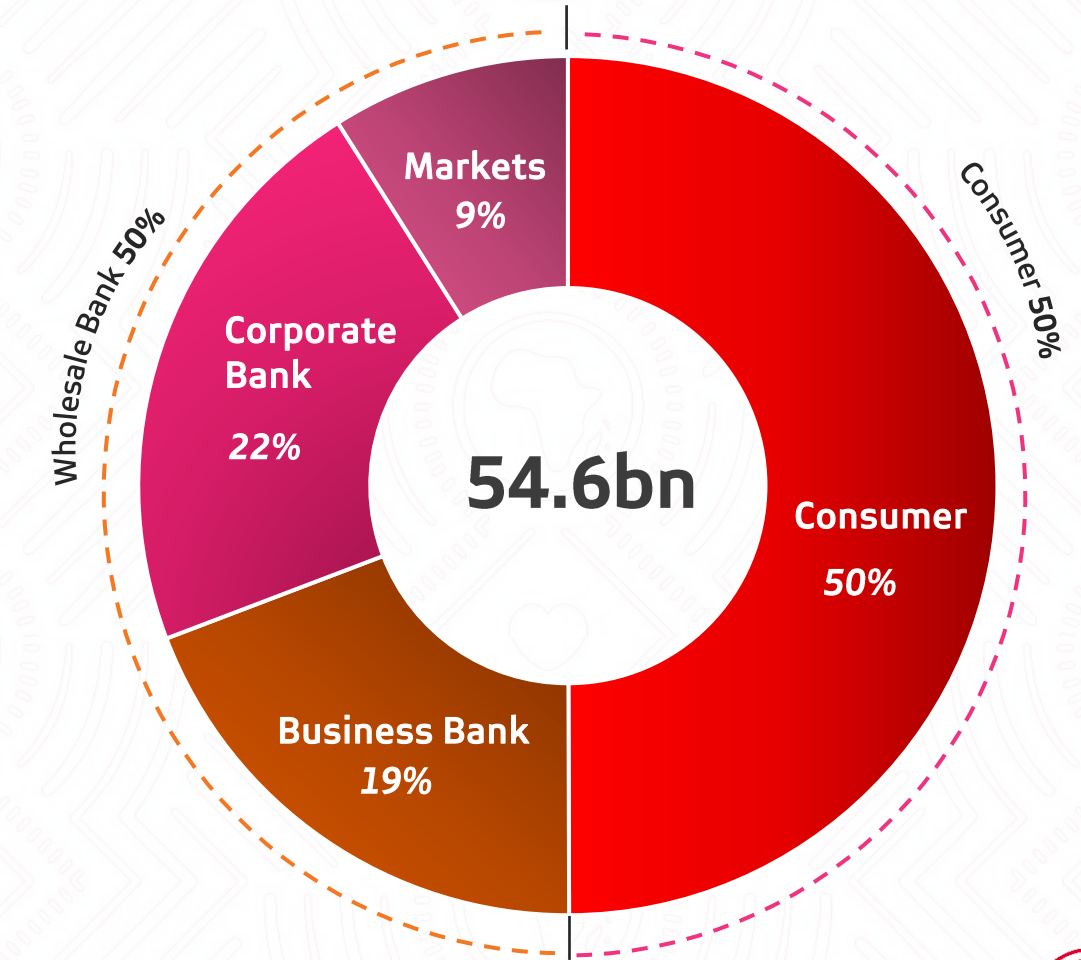
Significant momentum in revenue: Diversified growth of 19% with New Businesses materially contributing to the growth

Revenue Diversification: NII and NFI

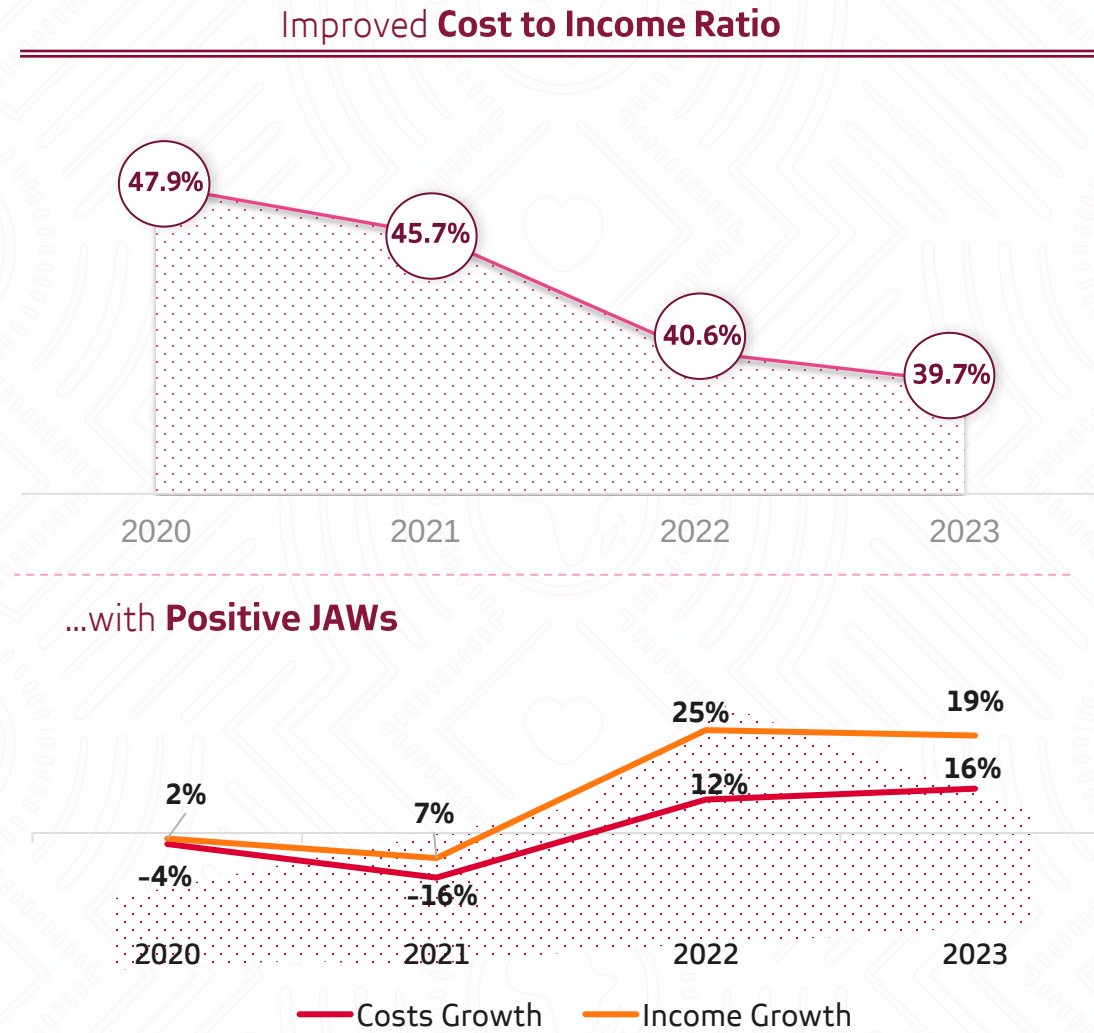
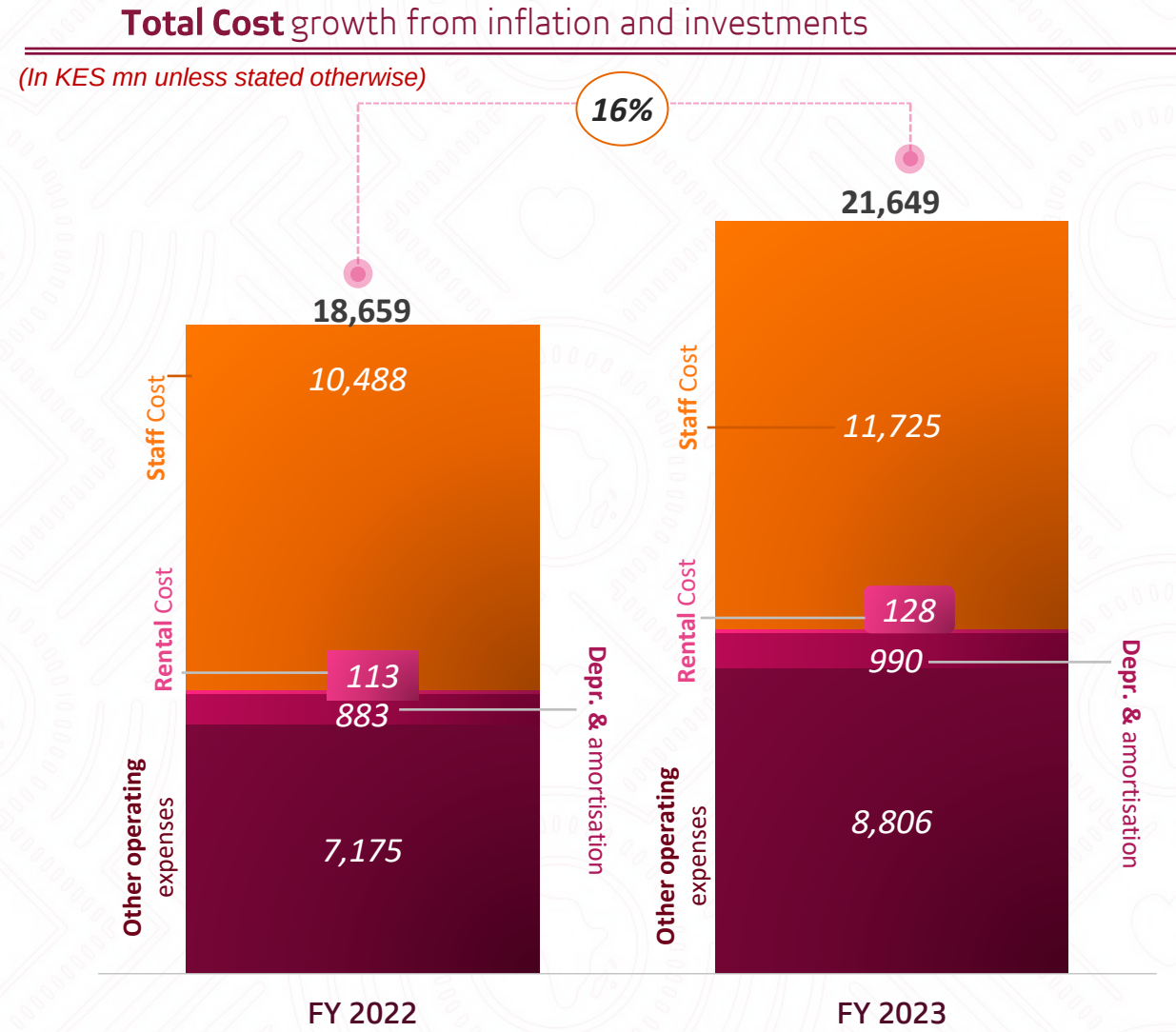
(In KES bn unless stated otherwise)



Revenue Diversification by business



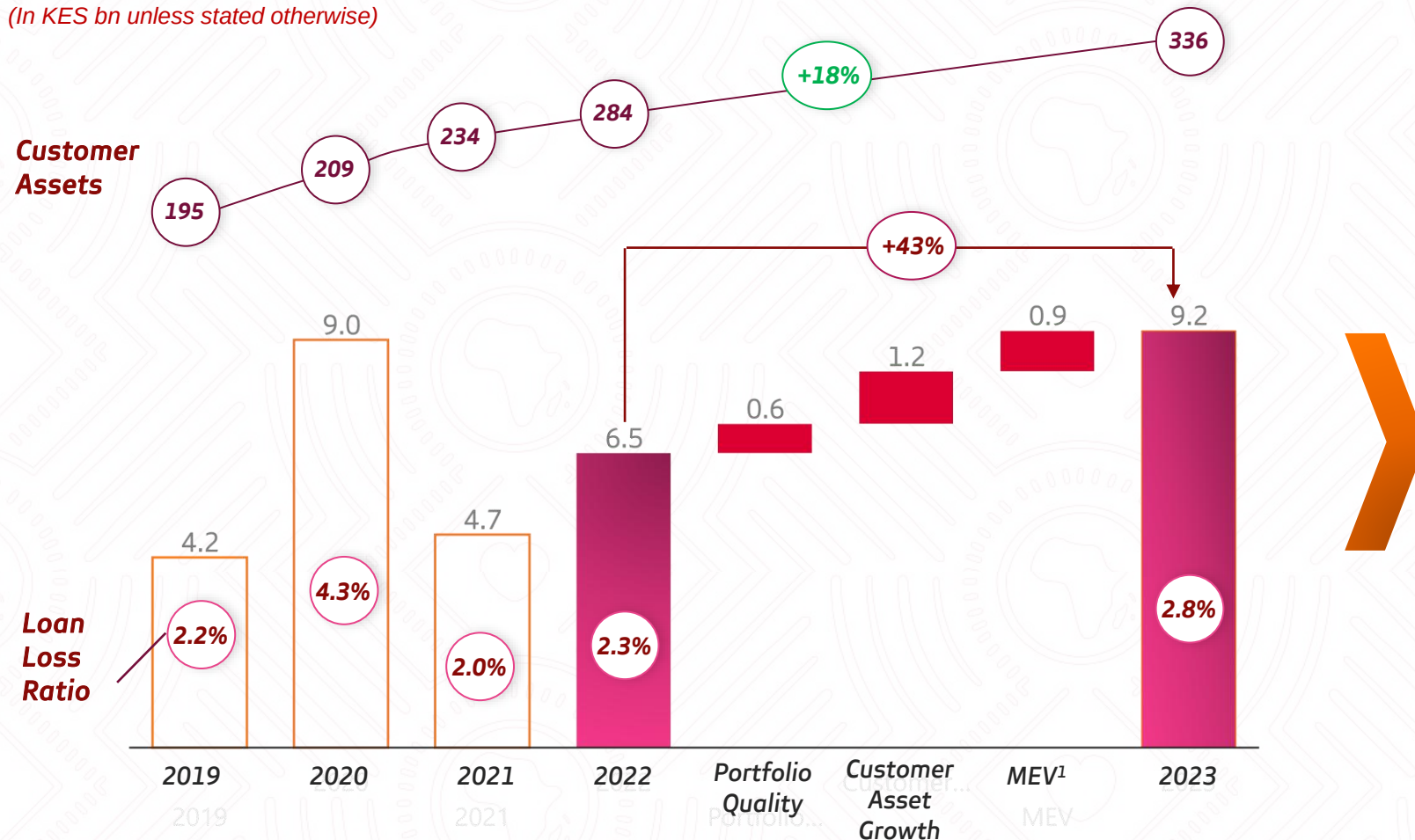
Sustained improvement in efficiency: Our efficiency remains better than plan despite increase in costs, we are sustaining investments to support future growth



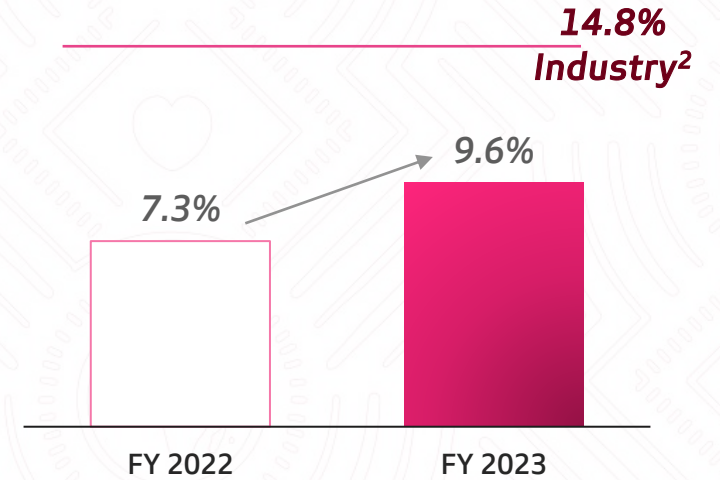
Portfolio quality: Sustaining quality while growing balance sheet in a tough operating environment

Impairment relative to growth

(In KES bn unless stated otherwise)

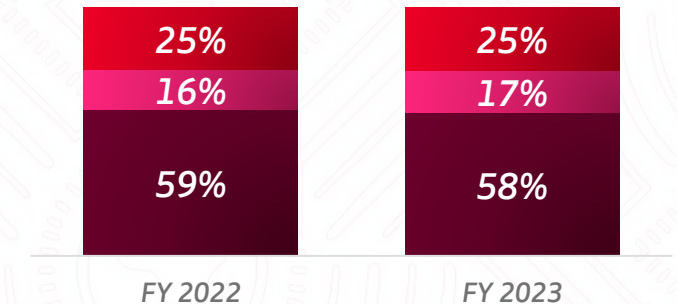


Gross NPLs Ratio



Impairment Stock

■ Stage 3 ■ Stage 2 ■ Stage 1



Notes

1. MEV – Macro Economic Variables, Loan Loss Ratio at 2.7% excluding MEV
2. Industry gross NPLs (Non-Performing Loaning) as at Dec 2023.

Your story matters



Accelerated top-line driven profitability and balance sheet growth

(In KES bn unless stated otherwise)

P&L Indicators	FY 2022	FY 2023	Comment	
Income	45.9	54.6	19%	↑
Net Interest Income	32	40	24%	↑
Non Funded Income	14	15	6%	↑
Operating Costs	(18.7)	(21.6)	16%	↑
Impairment	(6.5)	(9.2)	43%	↑
Profit Before Tax	20.8	23.7	14%	↑
Profit After Tax	14.6	16.4	12%	↑
Balance Sheet				
Customer Assets	284	336	18%	↑
Customer Liabilities	304	363	19%	↑
Total Assets	477	520	9%	↑

Cost-income-ratio showing marked improvement with profitability supporting better Return-on-Equity

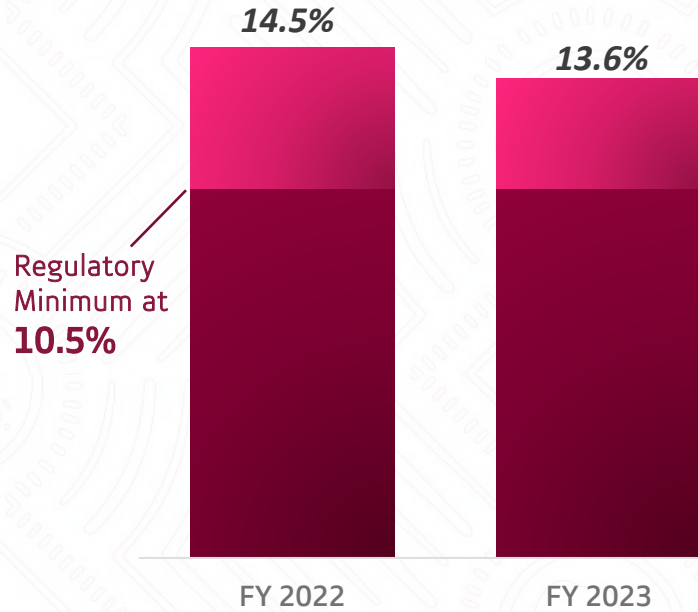
Indicators	FY 2022	FY 2023		
Cost to Income Ratio	40.6%	39.7%	Marked improvement (90 bps)	↓
Loan Loss Rate	2.3%	2.8%	Increased due to the current macro-economic environment	↑
Yield on Loans	11%	13.3%	Impact from the increased CBR ¹	↑
Cost of Funds	2.5%	3.5%	Driven by higher rate cycle	↑
ROE ⁽²⁾	23.0%	23.7%	Recovery in ROE ² driven by better earnings and Optimization of capital	↑

Notes

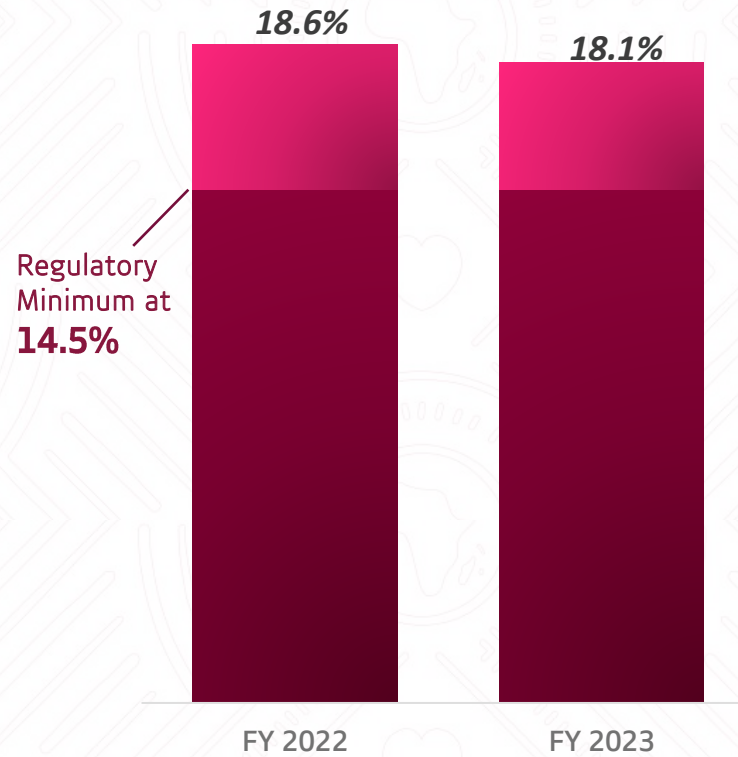
1. CBR – Central Bank Rate
2. ROE – Return on Equity

Strong capital and liquidity ratios: Providing capacity to support growth ambition and capital distribution

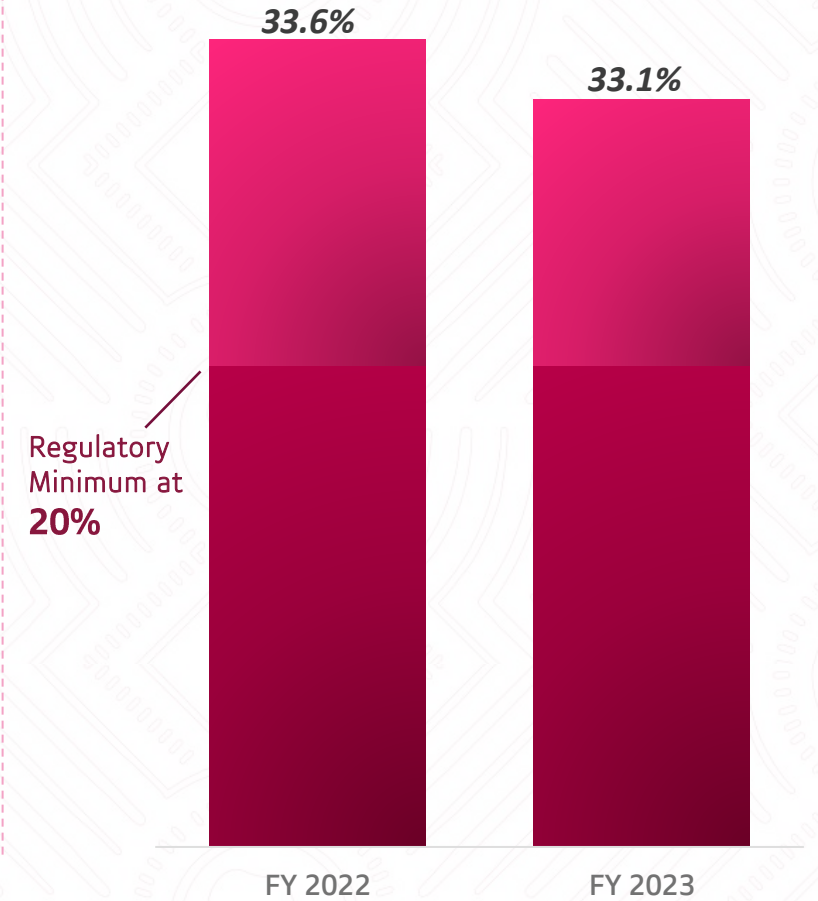
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



Guidance



Yusuf Omari
Chief Financial Officer



Guidance: Our strategy supports a positive medium-term guidance

Principal financial metrics

...Medium term target



Growth

Double-digit revenue growth



Efficiency and re-investment Capacity

Cost-To-Income Ratio of low 40%'s



Shareholder Returns

Return on Equity above our Cost of Equity by 5%



Balance Sheet Quality

Better than industry average portfolio quality
(NPL ratio)

Recap



Abdi Mohamed
Chief Executive Officer

Recap: The strategic roadmap ahead and the bank we are building

2023 performance highlights

Income
54.6bn
+19%

Profit After Tax
16.4bn
+12%

Customer Assets
336bn
+18%

Customer Liabilities
363bn
+19%

Cost to Income
39.7%
(90bps)

Return on Equity
23.7%
+70bps



With clear execution focus areas for 2024 and beyond

On consumer banking:

Build a scalable consumer banking business that is digitally enabled to drive reach, targeting a significant increase in profitable customers.

On business banking:

Expand our reach towards market leadership through enhanced physical and digital distribution, innovation of our propositions and a step change in customer experience.

On Corporate and Investment Bank:

Connecting client ecosystems with the objective of delivering-the-firm and in doing so, become the primary partner for our clients. This effort will leverage best-in-class transactional banking capabilities

On a digitally powered business:

Sustain investments towards modernising our technology chassis, enabling scale in partnership and acquisition through the launch of an Open API Gateway

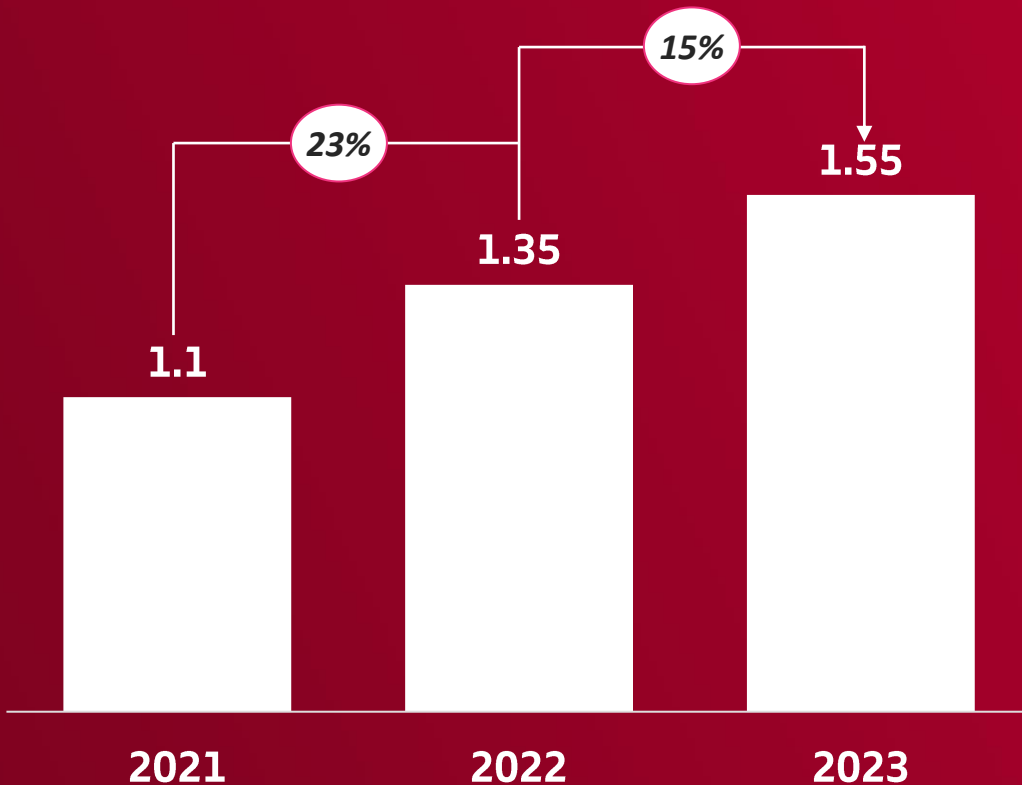
On trusted brand driving a sustainable future:

Remain number 1 Trusted Financial Services Brand in Kenya through building a locally relevant, always-on brand that drives a sustainable future and being a Force for Good in the communities in which we operate

On home of talent and diversity:

Build a home of talent underpinned by a culture that fosters innovation and embraces all forms of diversity and inclusion

For our shareholders: we are delivering incremental returns for our shareholders over the cycles



The Board has recommended a final ***Dividend Per Share*** payout of Kshs. ***1.35*** to total Kshs ***1.55*** or Kshs ***8.4 billion*** which is a ***15%*** increase compared to last year

(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank Kenya PLC future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Absa Bank Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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